

go up to 40 million a year over the next decade from 4 million in 2022. That would mean 16 million ACs available for export, after taking care of projected local demand of 24 million a year by 2032.

JOURNEY OF HOPE

Meanwhile, the good part is, there has been progress, howsoever little. After doubling the value of mobile handset exports in FY22 to ₹45,000 crore over FY21, India is estimated to have exported ₹90,000 crore worth of mobile handsets in FY23. Gandhi from CRISIL says this proves the success of PLI at least to a certain extent. “Similarly, in the pharma industry, India is now making 35 active pharmaceutical ingredients (APIs), which we used to import from countries like China. As a result, India’s imports have come down,” she says.

According to Ramesh Swaminathan, Executive Director, Global CFO and Head of Corporate Affairs at pharma major Lupin, while PLI is aimed at “fostering the growth of global champions from India” by boosting investment and production in the sector, it requires tweaking to succeed. “To further enhance the scheme, implementation of mandatory incremental sales of 7 per cent year-on-year needs to be applied specifically to the selected, approved products eligible for benefits. Such an approach would be more pragmatic and beneficial, allowing companies to focus their efforts and resources on specific products,” he says, adding that additional incentives would encourage research and innovation.

Like JSL’s Sharma, Chanakya Chaudhary, VP of Corporate Services at Tata Steel, is optimistic. “The PLI scheme would go a long way in realising the National Steel Policy 2017 both in terms of scale

and quality of products needed for consumers,” he said in a statement. “PLI is aimed at encouraging domestic as well as foreign companies to manufacture specialty steels needed for high-end applications.”

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“Focussed on AC component manufacturing, the PLI would alter the order of the game, where today Indian manufacturers lag behind their Chinese competitors”

KANWALJEET JAWA
MD & CEO, DAIKIN
AIRCONDITIONING INDIA



“As stainless and alloy steels are low-volume but high value-added items, the threshold investment levels in PLI 2.0 need to be significantly lower as compared to PLI 1.0”

VIJAY SHARMA
DIRECTOR, JINDAL STAINLESS

their Chinese competitors. While 75 per cent of the value of items used in ACs are now being imported, only 25 per cent would be imported by end of the period,” says Jawa from Daikin, which is setting up a plant at Sri City for ₹850 crore.

According to Athar, between 2020 and 2022, the government has at least managed to streamline the processes for each PLI, the application process for the respective sectors, incentive payout mechanisms, and by setting up bodies for scrutiny of progress under PLI. “Since it is a fairly large scheme that involves seamless coordination across multiple ministries and departments, it took a lot of effort between announcements and their actual launch for respective sectors. Further, the government has secured investment commitments from some 450 companies across sectors.” And now with the house in order, Athar expects significant bump in investments and production over the next few years.

With the scheme covering 14 sectors—well over 60 per cent of India’s manufacturing GDP—stakeholders and experts are now placing their bets on efficient implementation of PLI over the next couple of years, with significant increase in production and incentive disbursement being crucial from 2023-24. Gandhi points out that some ₹30,000 crore or 11 per cent of the projected capex under PLI has already been invested by private players. In the three years till 2026-27 from now, as per CRISIL MI&A’s analysis, 66 per cent or over ₹1.81 lakh crore of investments are due. If they materialise, India would be well on its way to becoming a manufacturing and exports powerhouse. **BT**

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